Interest Rate Effects on Currency Trades

Three Key Triads

1) 30 Year Bond - Key Long Term Interest Rate

2) 10 Year Note - Intermediate Term Interest Rate

3) 5 Year Note - Short Term Interest Rate

Base Asset Relationship

When USDX is higher, Smart Money is lower.

Divergence Signals

Divergence in triads indicates an incoming Interest Rate shift.

High Probability Setup

USDX/US30 at Order Block with triad divergence creates opportunity.

Liquidity Concepts & Price Delivery

External Range Liquidity

Occurs outside the current trading range. Provides targets for breakouts.

Internal Range Liquidity

Found within the current trading range. Creates opportunities for reversals.

Fair Value Gaps

Areas where price was only delivered in one direction. Expect price to return here.

Trading with Higher Timeframe Bias

Monthly & Weekly Analysis

Understand where these timeframes want to trade to.

Daily Setup Identification

Look for setups that align with higher timeframe direction.

Lower Timeframe Entry

Use Lower TF charts (such as the 15-minute) to find precise entries.

Target Selection

Aim for old highs or old lows (where Liquidity resides) or fair value gaps from higher timeframes. Liquidity will always be your draw regardless.

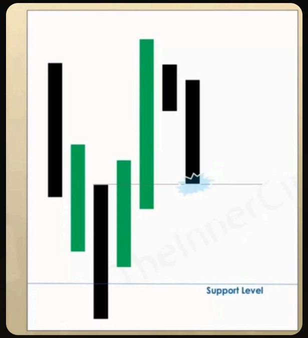
Order Blocks

Bullish Orderblock:

The Lowest Candle or Price Bar with a Down Close that has the most range between Open to Close and is near a "Support" level.

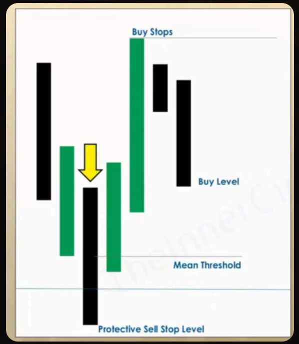
Order Block Validation:

When the High of the Lowest Down Close Candle or Price Bar is traded through by a later formed Candle or Price Bar.



Entry Techniques:

When Price trades Higher away from the Bullish OB and then Returns to the Bullish OB Candle or Price Bar High – This is Bullish.



Defining Risk:

Safe Stop Loss placement – Low of the Bullish OB

Just below the 50% of the OB total range is also considered to be a good location to raise the Stop Loss after Price runs away from the Bullish OB.

Mitigation Blocks: Finding Reversals

Market Structure Shift

Focus on the last down candle before a rally.

Support Break

Wait for short-term support level to break.

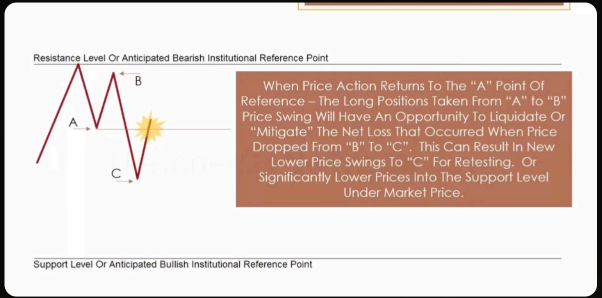
Short Entry

Enter short position at the mitigation block.

Target Equilibrium

Aim for equilibrium of liquidity void.

Mitigation Blocks



Mitigation Block

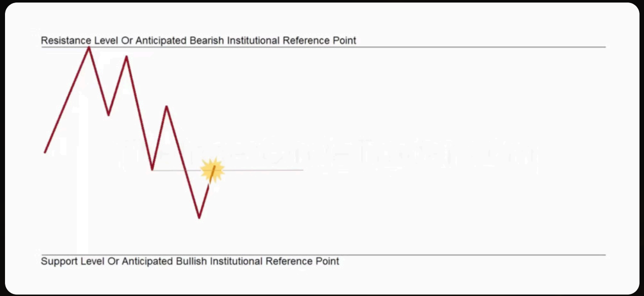
A – Low

B – High

C – Lower Low

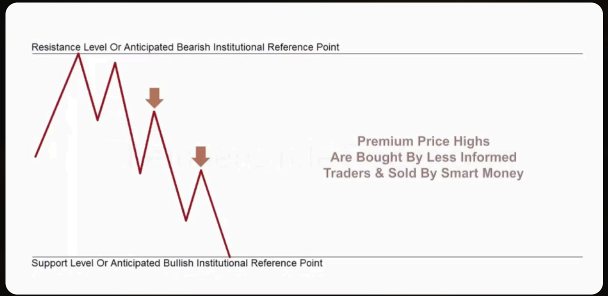
Entry – Lower High

Then once you see that lower high, that is your **Mitigation Block**.



Entry

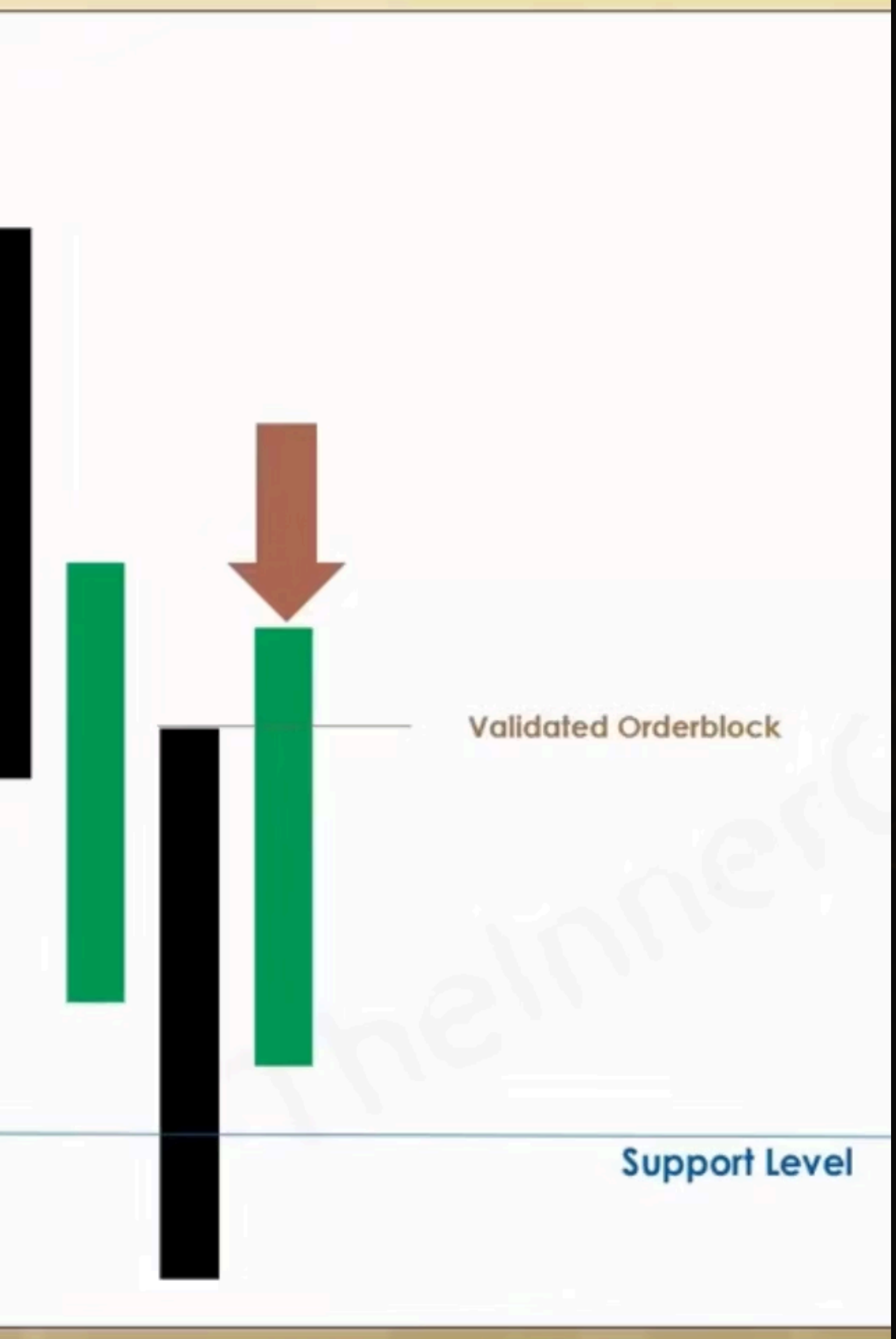
Remember this pattern as price post a Market Structure shift lower – your attention here will fall on the last down candle.



Smart Money Concept

Where the arrows are is where Smart Money is selling, this is considered Premium Highs that's bought by less informed traders.

This is precisely where YOU should sell.



Entries & Validation

Identify Support/Resistance

Look for old highs/lows for Liquidity on higher timeframe charts.

Wait for Validation

Inefficiencies are more validated when Market Structure breaks occur

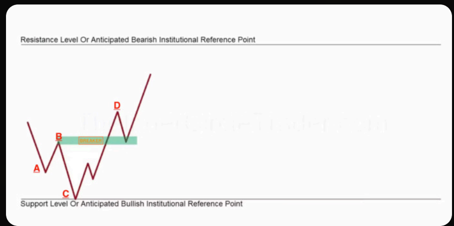
Enter the Trade

Buy/Sell when price returns to the validated inefficiency. (Such as a Order Block or Mitigation Block)

Target External Range

Aim for the down candle's high/low or external range liquidity.

Breaker Blocks



Breaker Block

A – Low

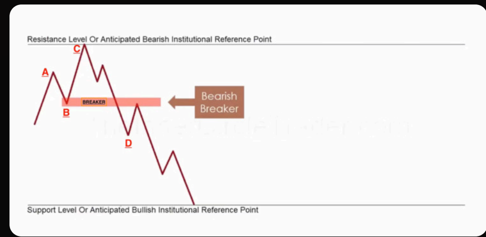
B – High

C – Lower Low

D – Higher High

Our attention is on the **High** in the two **Short Term Lows**

This Resistance Level becomes **Support.**



Bearish Breaker

A – High

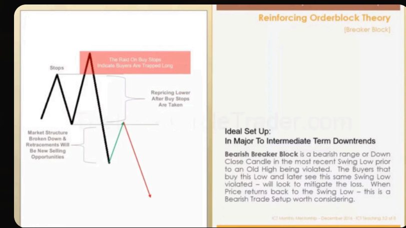
B – Low

C – Higher High

D – Lower Low

Our attention is on the **Low** in the two **Short Term Highs**

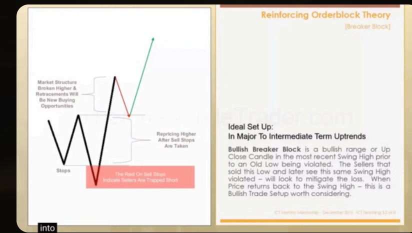
This Support Level becomes Resistance.



Bear Entry

Begin looking for a False Break above an Old High. Focus more on the wave before the last two for entry. (Where B is on the examples)

This helps when differentiating between Breaker and Mitigation Blocks.



Bull Entry

Same method just vice versa. Begin looking for a False Break under an Old Low. Enter on the Breaker. (Where B is on the examples)

Feel free to move your Stop Loss below or above Breaker for both Bull and Bear Methods.

ICT Breaker Blocks

Identify Short-Term Highs/Lows

Focus on the high between two short-term lows.

False Break

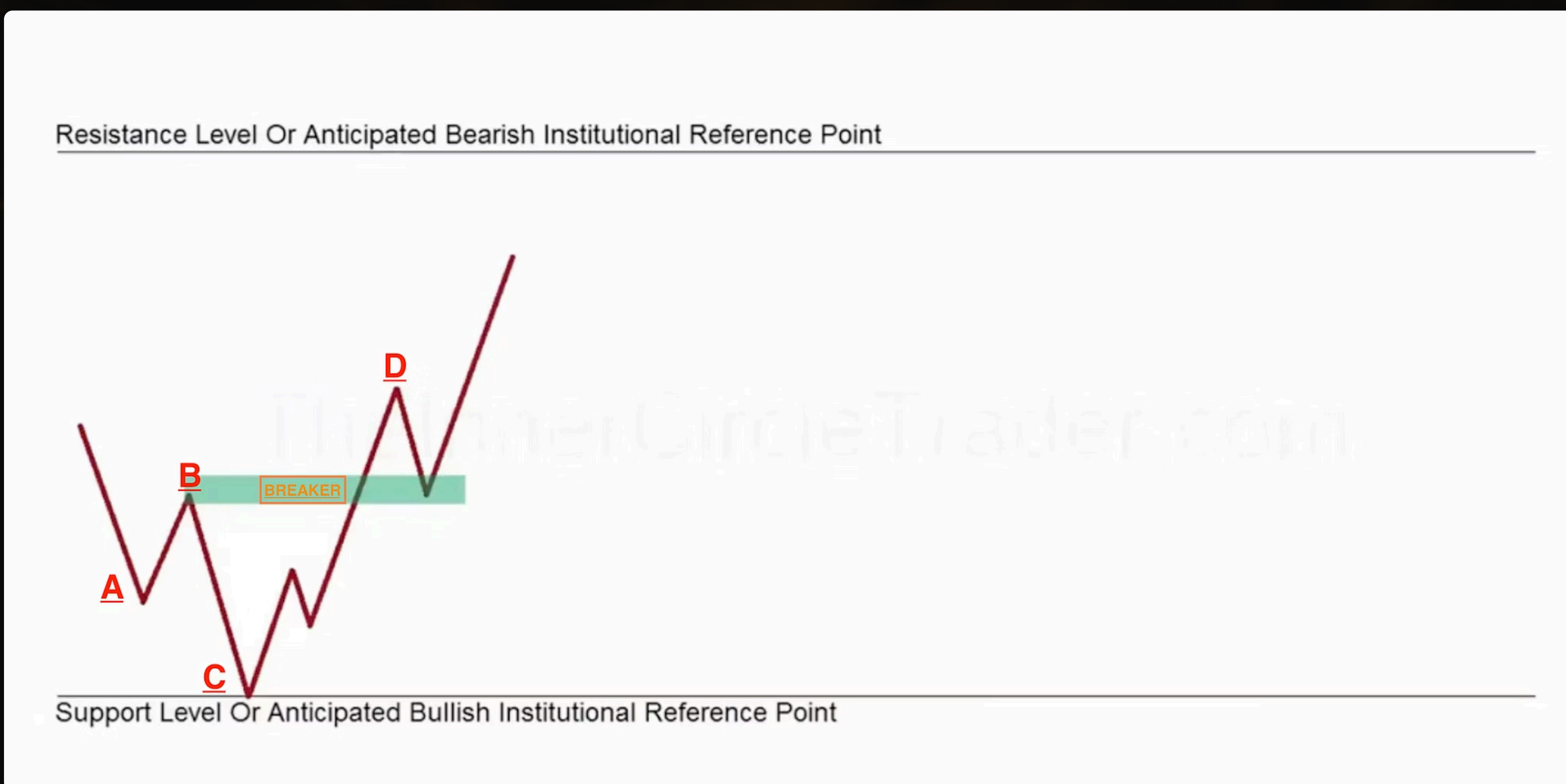
Look for false break above old high or below old low.

Quick Repricing

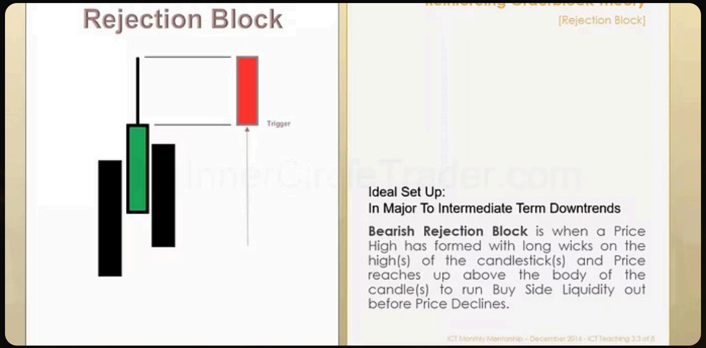
Market quickly reprices, confirming the breaker block.

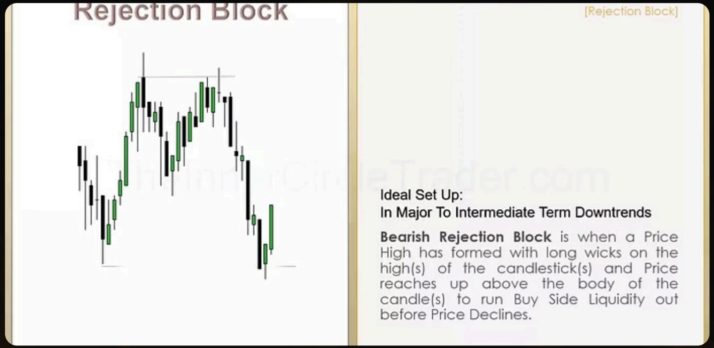
Trade Entry

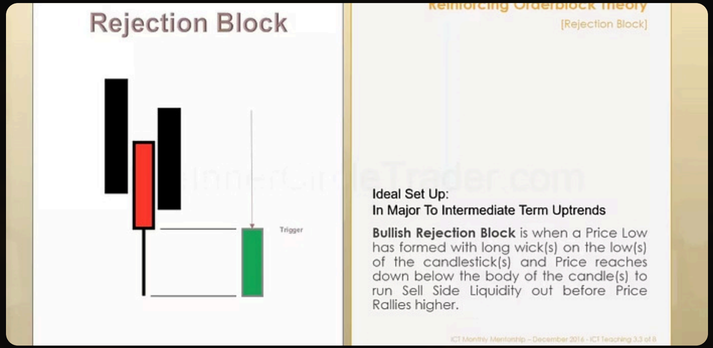
Enter when price returns to the breaker block level.



Rejection Blocks







When a Price Low has formed with long wick(s) on the low/high(s) of the candlestick(s) and Price Action reaches down below the body of the candle(s) to run Sell Side/Buy Side Liquidity out before Price rallies higher.

Turtle Soup

Turtle Soup Long

False break below old low where sell stops are run. Expect rejection and upward movement.

Turtle Soup Sell

False break above old high where buy stops are run. Expect rejection and downward movement.

Anticipate Rejection

Every time a new high or low forms, expect some measure of rejection.

Market Maker Buy Model

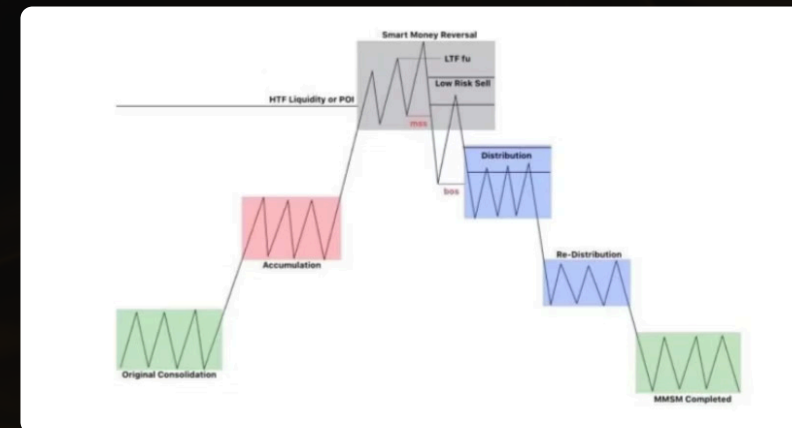
1. **Original Consolidation**
2. **Distribution**
3. **SMT Reversal**
4. **Accumulation**
5. **Re-Accumulation**
6. **MMBM Complete**

MMBM

Smart Money engineers **Liquidity** through **Manipulation**, accumulates positions at a **Discount**, and drives price toward a **Premium** to offload into late buyers. Understanding each phase helps traders align with institutional order flow rather than getting trapped in retail narratives.

Market Maker Sell Model

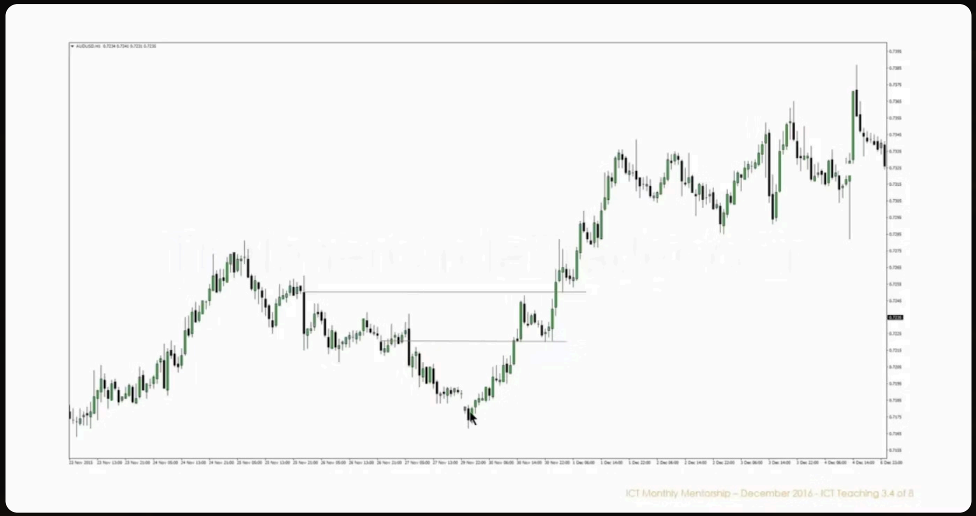
1. Original Consolidation
2. Distribution
3. SMT Reversal
4. Accumulation
5. Re-Accumulation
6. MMBM Complete



MMSM

Smart Money positions at a **Premium**, **Manipulates** Price Action to trap buyers, and unloads into engineered **Liquidity** before driving price lower. Recognizing this pattern helps traders avoid buying into highs and positions them to follow the institutional sell-side narrative.

Reclaimed Order Blocks



Reclaimed Shorts

Anticipate the Market to trade **Higher** to go **Lower**

Every **Down Candle** confirms that there is **Hedging** on the way

When we get to the **High** and Climax there and start going **Softer** and going **Lower**–

Every time we re-trade back up into that **Old** previous **Up Candle** on the **Buy Side**

We can now take new shorts at this **Reclaimed Order Block**

On the **Sell Side** of the Curve these are **<u>Reclaimed Shorts</u>**

Reclaimed Longs

Every time there was a **Bullish Order Block** that was created on the **Major Price Swing** going **Lower**

That indicates there was **Hedging** going on. That **Down Candle** is what we're looking to **Reclaim** / watch Price **Recapitalize** that old **Order Block**

AND it saw some minor movement **Higher** – **<u>Reclaimed Longs</u>**

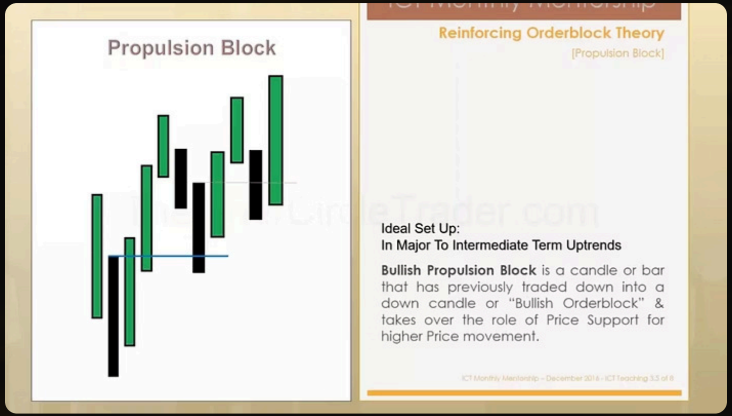
Every new **Buying** opportunity is going to be matched up to the previous **Down Candle** while the price was dumping earlier – On the **Sell Side** of the Curve Ultimately, everything will match up on both sides of the **Market Maker Buy Model**

Propulsion Block

A candle that traded down (or up in a Bearish scenario) into a down/up candle.

Mean Threshold of **Proportion Block (Bullish Order Block)** should not be broken.

Explosive action – The market will show a Sudden and Violent Movement away from that Down Candle.

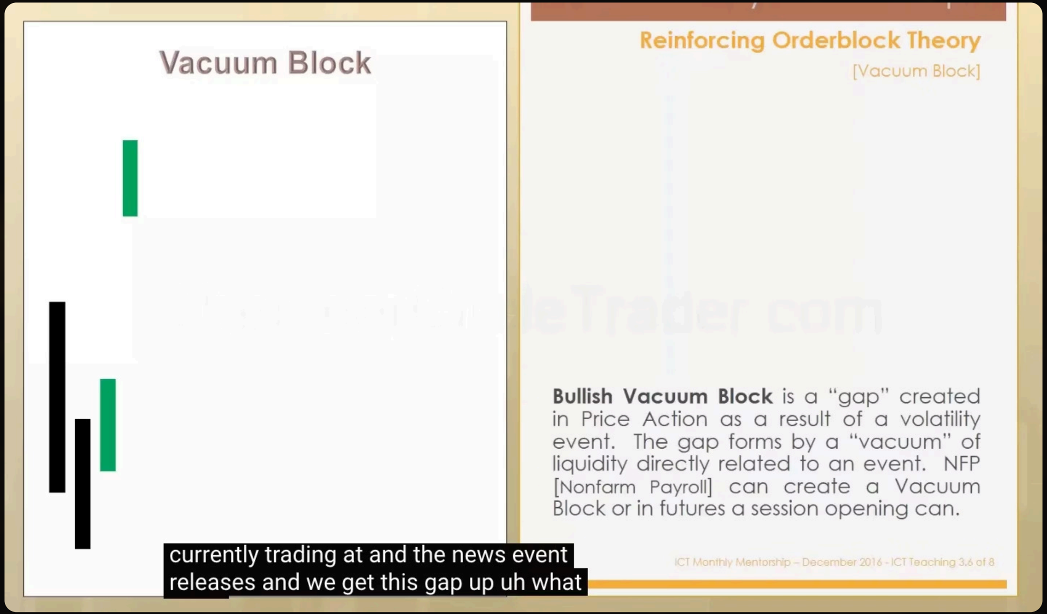


Vacuum Block

A Vacuum Block is just essentially a Gap up/down, this happens because of a volatility event. You can consider the Gap to be an inefficiency.

These kind of Gaps can occur in:

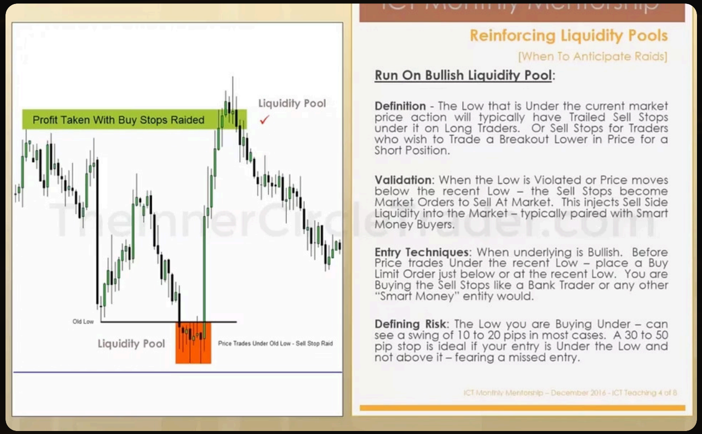
- NFP (Nonfarm Payroll)
- Opening of a Futures Session
- FOMC
- Fed Powell Speaking
- Core CPI
- Core PPI



Liquidity Voids

A range in Price Delivery where one side of the Market Liquidity is shown in wide or "long" one sided ranges or candles. Price typically will want to revisit this void of liquidity.

Liquidity Pools



Liquidity

Liquidity is the **Open Interest** of Buyers and Sellers in the Market and can be further defined by those entities at or near specific Price Levels.

BSL – Buy Side Liquidity (Top Line)

SSL – Sell Side Liquidity (Bottom Line)

Smart Money Buys

We want to be a **Buyer** – **Below Market Price Seller** – **Above Market Price**

We require for price to come back into a **Discount** before entering a position – Unlike **Retail Traders**

The **Low** that is under the **Current Market Price** –

Will typically have a trailed **Sell Stop** under it for **Long Traders**

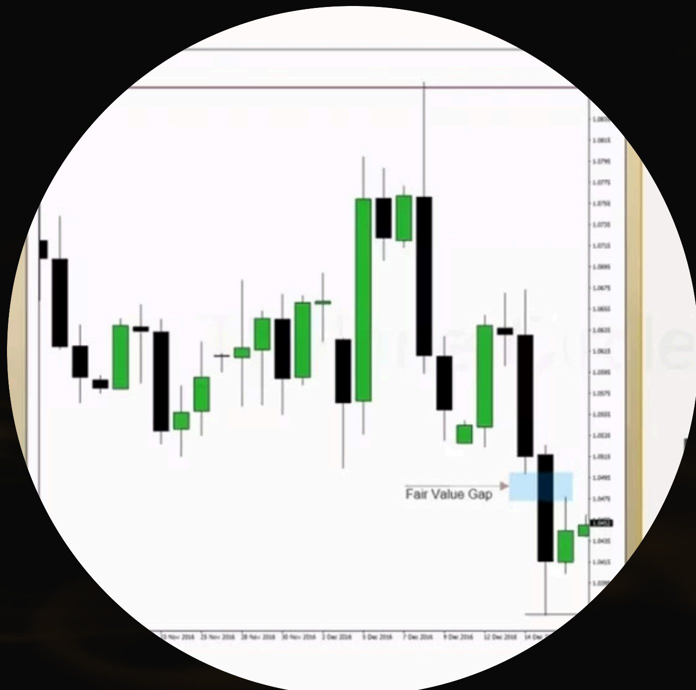
Liquidity Pools

When Price goes above **Old Highs** – we want to **Sell.** We know there's going to be willing **Buyers** that want to accumulate new **Highs** or –

They have **Shorts** on and the market has repriced above an **Old High** and that's where **Retail Traders** put their **Stop Loss**

By doing that – we're selling **Short** in a **Pool of Liquidity** of **Buyers** and Vice Versa

Fair Value Gaps (FVG)



Fair Value Gap

Is a range in Price Delivery here one side it the Market Liquidity is offered & typically confirmed with a Liquidity Void on the Lower Time. Price can actually "gap" to create a literal vacuum of Trading thus posting an actual Price Gap.

Daily FVG

Here is an example EURUSD of a Daily Fair Value Gap. This price pattern is one of my favorites and works great on ALL Time Frames.

4h FVG

Here is an example of a 4 Hour Fair Value Gap. When combined with Higher and Lower Time Frames – This pattern can make you rich.

(Well – ***IF*** you use it right)

Double Tops & Double Bottoms

We NEVER trust Double Tops and/or Double Bottoms. They are ALL just a form of Liquidity - Just Smart Money waiting to fool you. **Double Tops** are really **Buy Stops** and **Double Bottoms** are really **Sell Stops**.

This is where they get Retail Traders to think price is breaking an Old Support/Resistance and continue in that motion. In reality they are getting what I call - ***finessed*** by **Smart Money** to reverse off those Support/Resistance.